

Executive Summary: Olist E-Commerce Performance & Customer Insights

1. Revenue & Sales Performance

- **Overall Market Scale:** The dataset accounts for **\$13,591,643.70** in total item revenue.
- **Monthly Growth Trajectory:** Monthly sales showed steady expansion through 2017, climbing from \$120.3k in January 2017 to a peak of **\$506,071.14** in May 2017.

2. Product Category Concentration

- **Top Category Leader: beleza_saude (Health & Beauty)** generated **\$1,258,681.34**, contributing **9.26%** of total revenue across all categories.
- **Top 3 Revenue Pillars:** beleza_saude (\$1.26M), relorios_presentes (\$1.21M), and cama_mesa_banho (\$1.04M) collectively account for over \$3.5M in revenue.

3. Customer Segmentation & Value Distribution

- **Customer Base Split:** Out of 95,420 unique customers analyzed:
 - **Low Tier (< \$100):** 54,534 customers (**57.15%**)
 - **Medium Tier (\$100 – \$500):** 37,133 customers (**38.92%**)
 - **High Tier (> \$500):** 3,753 customers (**3.93%**)
- **Top Spender Outlier:** The single highest-spending customer spent **\$13,664.08**, significantly outspending average customers.

4. Retention Deficit & Core Strategic Opportunity

- **One-Time vs. Repeat Buyers:**
 - **One-Time Buyers:** 93,099 (**96.88%**)
 - **Repeat Buyers:** 2,997 (**3.12%**)
- **Strategic Takeaway:** Almost 97% of Olist's customer base only purchases once. Moving repeat purchase rates from 3.12% to even 6–8% via targeted email automated flows, re-engagement incentives, or product subscriptions would significantly reduce customer acquisition cost (CAC) dependency and boost long-term profitability.